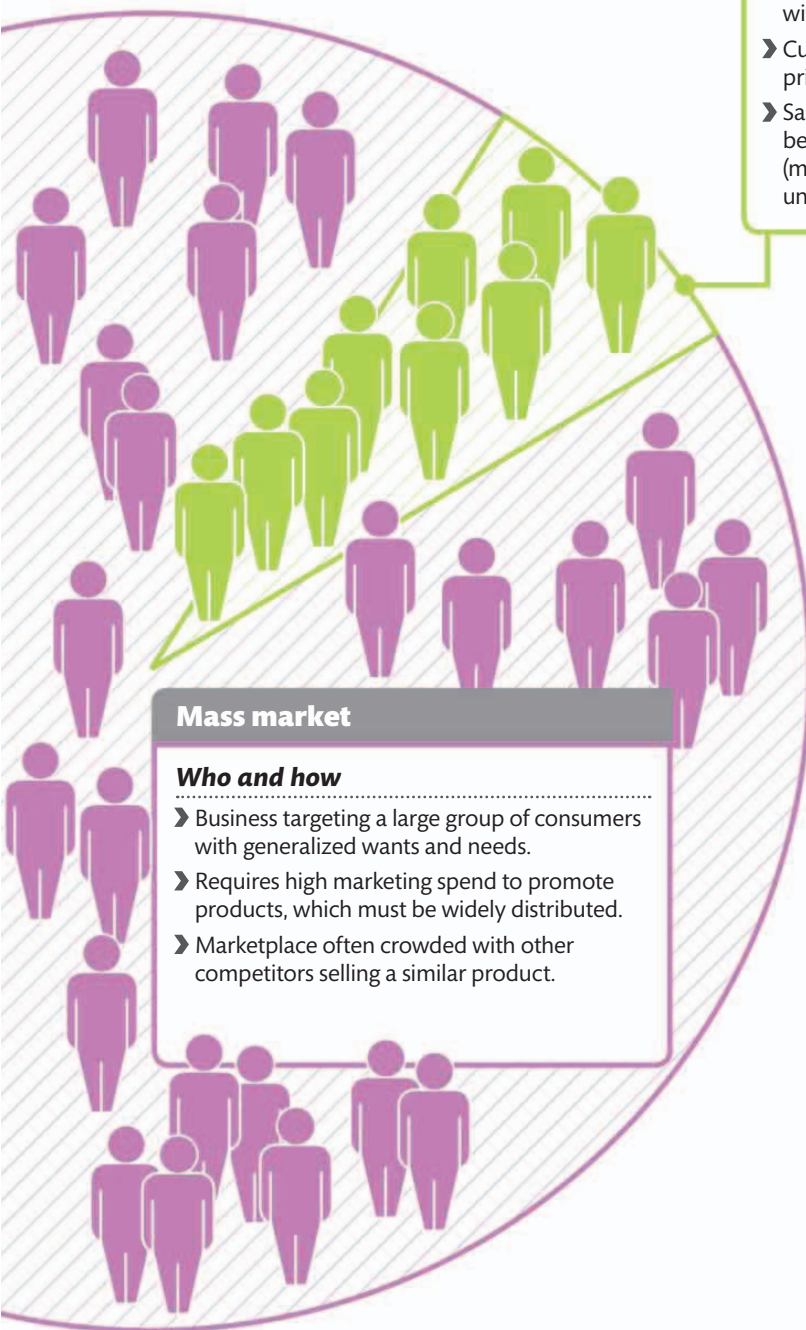




Niche market

Who and how

- › Business targets a select group of consumers with specific need and wants.
- › Customers often prepared to pay a premium price for an uncommon product.
- › Sales volume of niche product low, so does not benefit from production economies of scale (manufacturing large quantities to decrease the unit cost of production).

Mass market

Who and how

- › Business targeting a large group of consumers with generalized wants and needs.
- › Requires high marketing spend to promote products, which must be widely distributed.
- › Marketplace often crowded with other competitors selling a similar product.

HYBRID APPROACHES

Using social media to identify and reach more than one target market, marketers have developed hybrid approaches that are more flexible than conventional niche or mass-market positioning of products.



Mass market

An unfocused strategy that aims at the broadest customer base.



Large segment

Channels marketing resources to one large segment of the mass market.



Adjacent segment

Once large segment is fully penetrated, product expands into related segment.



Multi segment

Markets to several segments at once, with a customized strategy for each.



Small segment

Markets to a small segment with few competitors, if resources are limited.



Niche segment

Focuses marketing resources on a specific group of customers.



Mass customization

Customizes a strategy for each sub-segment within the mass market.